

Level

Circular flow of income!



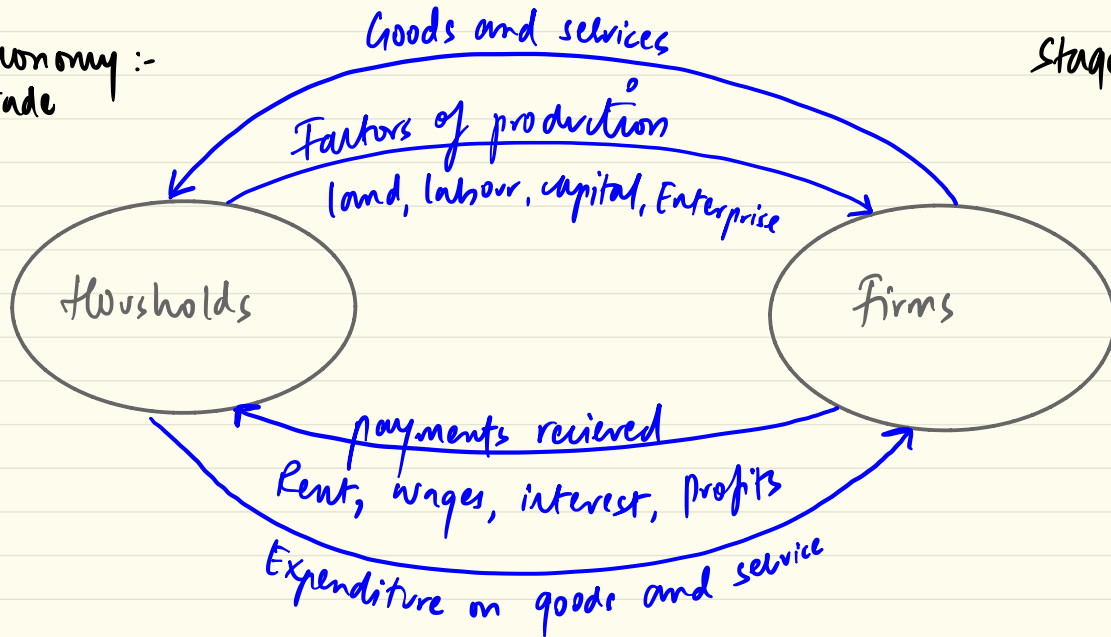
Зарак
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Circular flow of income

It refers to movements of income around an economy.

Closed economy :-
No trade

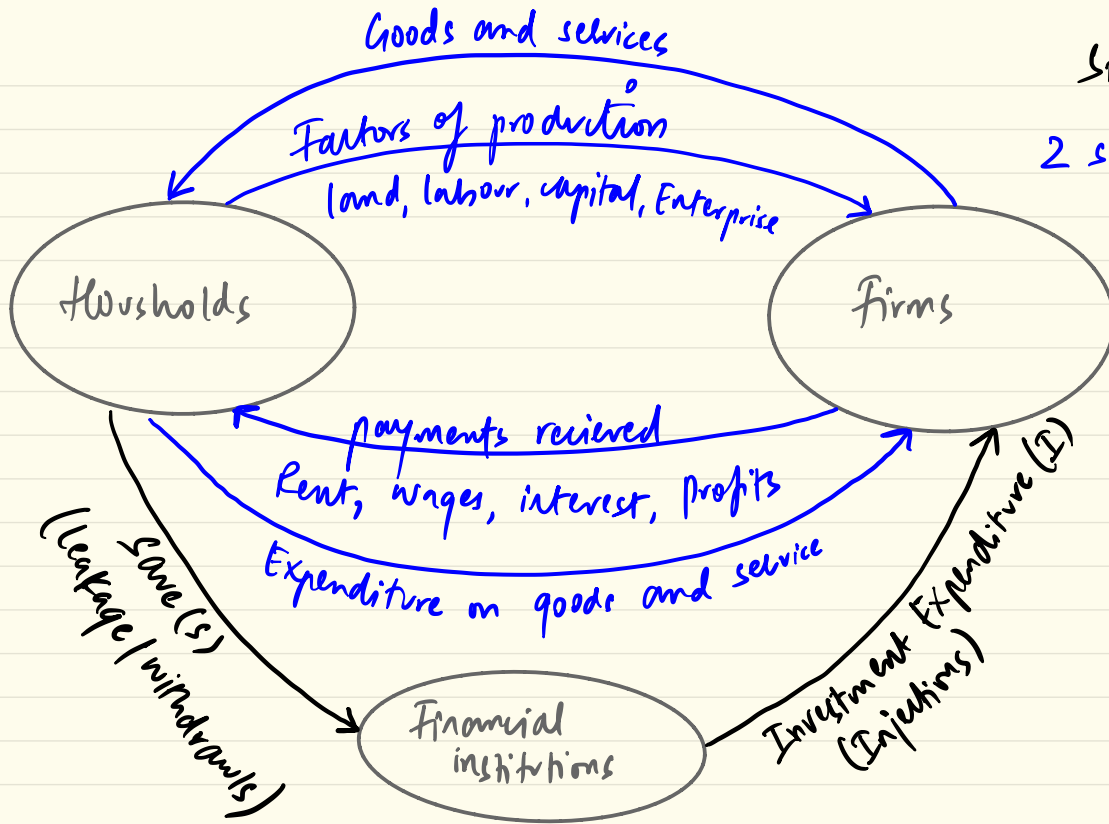
Stage #1



$$(\text{Income} = \text{output} = \text{Expenditure})$$

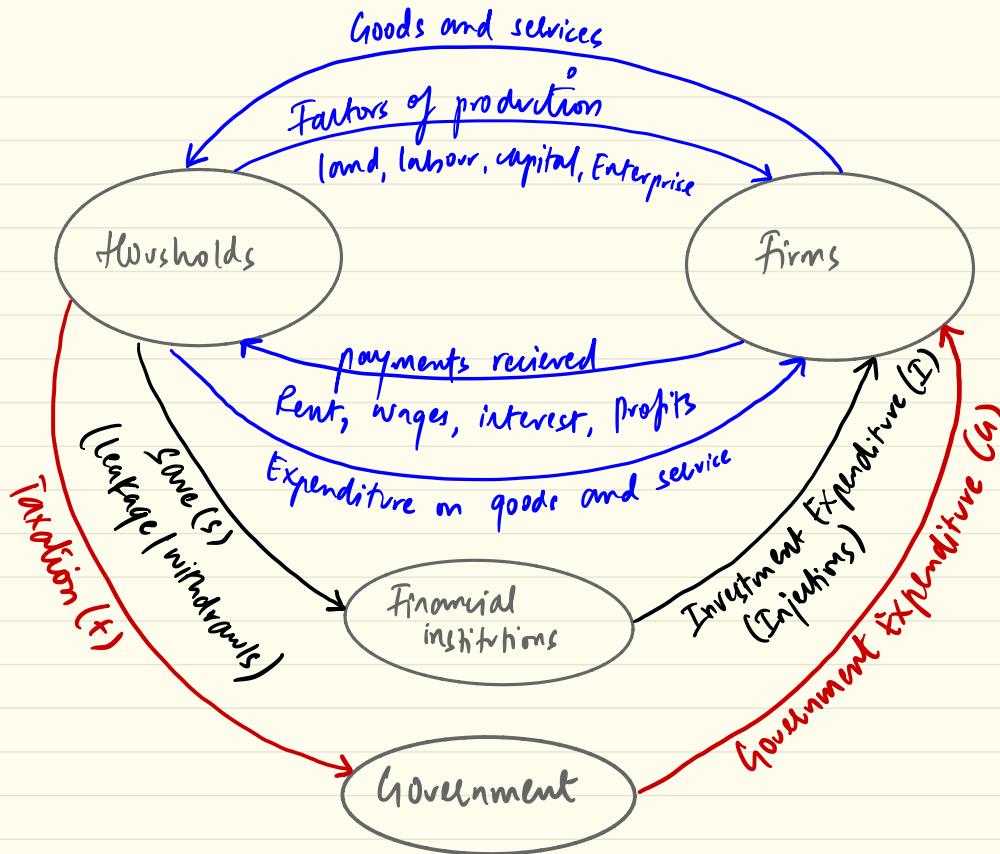
Stage #2

2 sector economy !



Stage #3

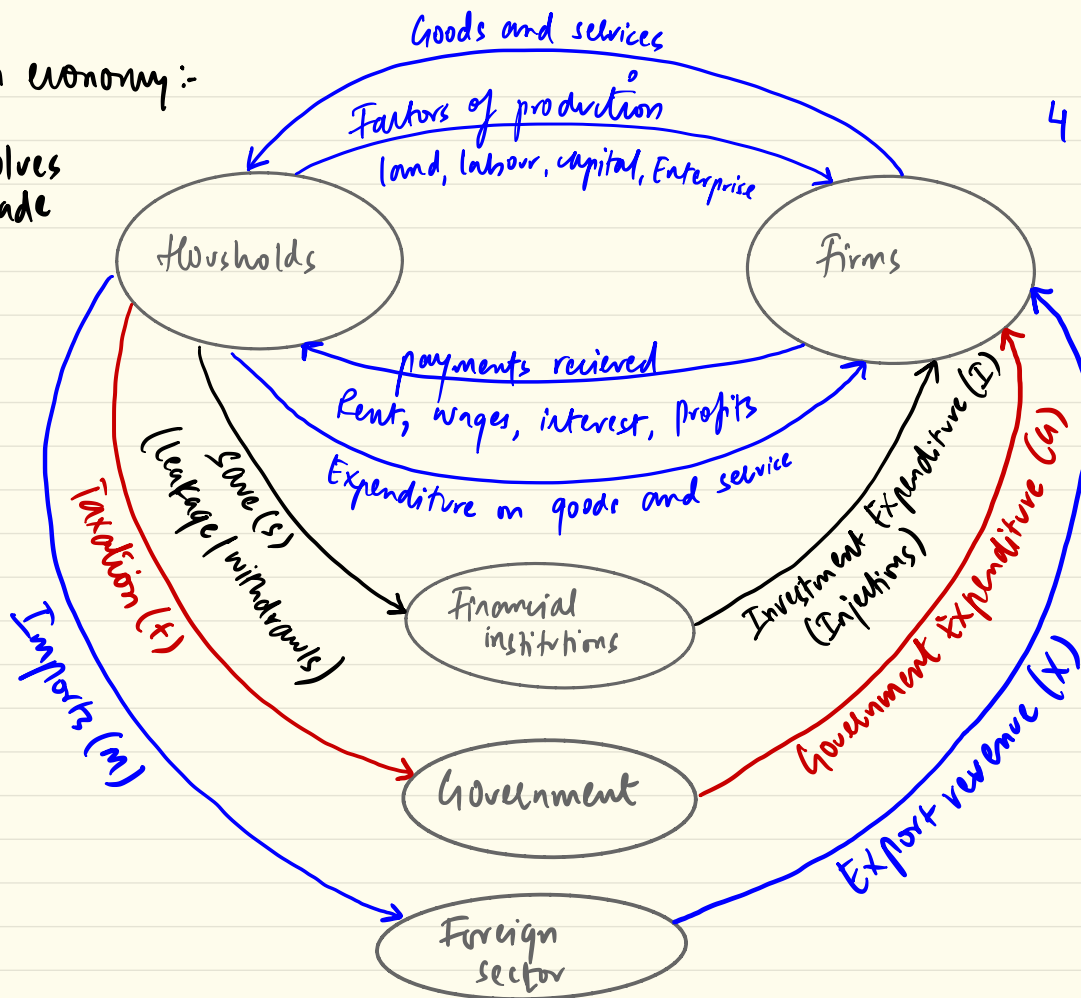
3 sector economy!



Open economy:-

Involves
trade

4 sector
economy!



Closed economy is one where it is assumed that a country does not engage in trade with any other countries in the world. If there is a movement of incomes between households and firms, then this form of close economy is known as two sector economy. If a government is then added, in addition to households and firms, then this form of closed economy is known as a three sector economy.

Open economy, a more realistic approach, however would be to assume that a country does engage with other countries in the world. In this case, it would be described as an open economy. If the trade in goods and services that are exported from, and imported to, a country is added to the households, firms and government, then it is described as a four sector economy.

Injections :-

Investment expenditure / spending by private sector firms (I)

Government spending / Expenditure (G)

Income received from exports sold abroad (X)

Leakages :-

Savings (S)

Taxation (T)

Imports (M)

March 2023

Ans:-

Circular flow in a closed economy involves households, firms and government

Injects of 'I' and 'G', Investment and government expenditure
leakages/withdrawals of 'S' and 'T', Saving and taxes

So that equilibrium income is $I + G = S + T$

Circular flow of income changes as an economy becomes open economy, with the introduction of participation in the international economy

Inject of 'X', Export revenue
Leakage/withdrawal of 'M', Import expenditure

Equilibrium income is now $I + G + X = S + T + M$

The extent to which the circular flow of income changes as an economy becomes an open economy depending on the importance of international net trade.

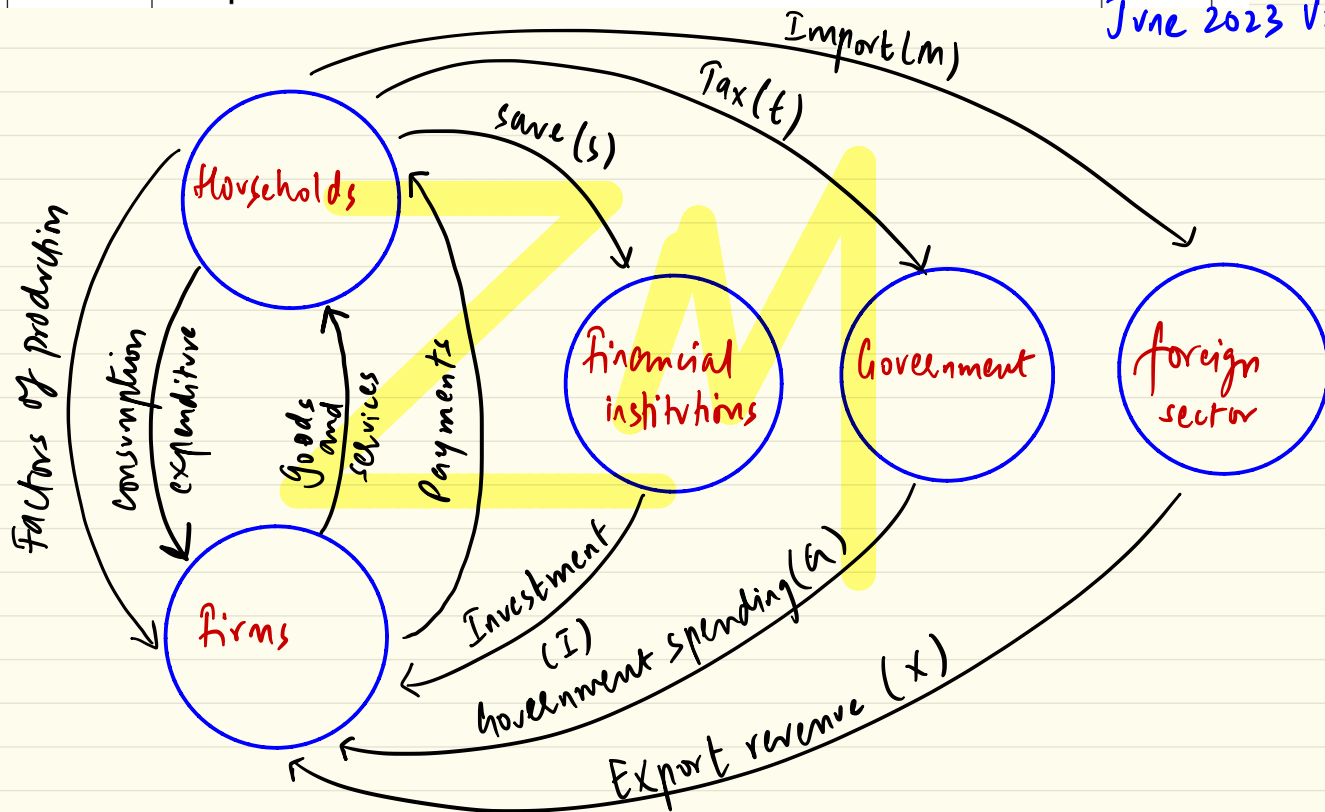
Significance of trade will decide the impact, if the economy is not dependent on trade, other component of equilibrium will play major role than X and M .

4(a)

With the help of a circular flow of income diagram, explain how equilibrium is determined in an open economy and consider whether a budget deficit or a trade deficit is more likely to cause lasting disequilibrium.

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Injectons :- $I + G + X$ (J)

Leakage / Withdrawals :- $S + T + M$ (W)

Income = Aggregate expenditure / demand

$$S + T + M = I + G + X$$

$$W = J$$

Budget deficit, Government spending > Tax revenue, $J > W$, disequilibrium

Trade deficit, $M(TE) > X(TR)$, $W > J$, disequilibrium

Trade deficit is likely to cause lasting disequilibrium, because budget deficit creating a disequilibrium, will clear out this disequilibrium as a rise in government spending will create a multiplier effect, giving rise to real income.

This additional income will raise additional saving, tax, import, thus giving rise to withdrawals, equilibrium will be formed.

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Ans:- Increased investment can be from firms or government

Households savings can be a source of funds for this investments

Investment is an injection into the circular flow of income

There is increased payments for factors of production.

Households supply factor services to firms in form of labour, enterprise and capital

In turn, firms provide factor services to implement the investment

Leakages impact on the total flow of funds in the circular flow of income

Taxation on inputs into the new infrastructure project is a leakage from households and firms to the government

Other leakages are spending on imports of materials to implement the new

infrastructure project

Household savings are a leakage from factor income

Equilibrium in the circular flow will depend on the balance between injections and leakages

Evaluation :-

The circular flow model is a simplified view of reality

The impact will depend upon the net of injections and leakages

There could be a negative impact on the circular flow of income if leakages exceed injections.

Most forms of infrastructure have a negative impact not taken into account by the model.

Consideration as to whether all new infrastructure always has a positive impact on the circular flow of income.